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Programme: B. TECH (CSE - DS)/B. Tech Intg. (CE)/B. Tech Intg. (DS)/B. Tech (MXTC)/MBA Tech (DS)
Year: II / III/Semester III/Semester V(Exam Year: 2025-2026)
Subject: Management Accounting for Engineers
Date: 02 Dec 2025 **Time: 10:00 am to 01:00 pm (03:00 Hrs.)**
Max. Marks: 100

FINAL EXAMINATION (Acad. Year:**2025-2026**)

Instructions:

1. This question paper contains 3 pages.
2. Answer to each new question to be started on a fresh page.
3. Figure in right hand side indicates full marks
4. Question no. 1 is compulsory
5. Out of remaining questions, attempt any 4 questions
6. In all 5 questions to be attempted
7. Assume suitable data if necessary
8. Scientific calculator/ simple calculators are allowed

Q1		**Answer briefly:**	**[20]**
CO-1; SO-; BL- Explain	a.	Explain the Revenue Recognition Principle and the Matching Concept with suitable examples.	(5)
CO-3; SO- ; BL- apply & analyse	b.	A company incurs fixed costs of ₹4,80,000 annually. Each unit is sold for ₹200, and the variable cost to produce one unit is ₹120. During the year, the company managed to sell 10,000 units. A) Determine the break-even sales in terms of both units and sales revenue. B) Calculate the margin of safety in units and in terms of sales revenue.	(5)
CO-4; SO- ; BL- apply	c.	A company requires 30 kg of raw materials costing ₹3.00 per kg to manufacture 15 units of its product. In a particular accounting period, the company produced 15 units by using 35 kg of raw materials purchased at ₹2.80 per kg. Calculate the following variances: A) Material Price Variance (MPV) B) Material Usage Variance (MUV) C) Material Cost Variance (MCV)	(5)
CO-1; SO- ; BL- Explain	d.	Who are the primary users of accounting information? Explain how accounting serves the needs of external users.	(5)
Q2 CO-3; SO-; BL- Analyse & evaluate	a.	A company manufactures a special product which requires a component 'Alpha'. The following particulars are available for 2024: Annual Demand: 8,000 units; Cost of placing an order: ₹ 200 per order; Cost per unit of 'Alpha': ₹ 400; Carrying Cost 20 % p.a. The company has been offered a discount of 4% on the purchase of 'Alpha' provided the order size is 4,000 components at a time. Calculate: a) Economic Order Quantity in units. b) Advise whether the discount offer can be accepted.	[15]
Q2 CO-1; SO-;	b.	Briefly Explain the Classification of Costs based on Traceability along with atleast two suitable examples for each type of costs.	[5]

BL- Explain			

You are supplied with the information relating to sales and costs of sales of a manufacturing company.

The sales and cost of sales during the two years were as follows:

Year	Sales Rs.	Costs of Sales Rs.	Units
2001	6,00,000	5,60,000	2,400
2002	7,50,000	6,80,000	3,000

Q3

CO-3; SO-;
BL- Analyse & evaluate

(i) You are required to find out: [20]
- (a) P.V. Ratio
- (b) Break-even Point.
- (c) Margin of Safety in 2002.
- (d) Profit when sales are Rs. 1,20,000
- (e) Sales required to earn a profit of Rs. 75,000.

(ii) Calculate the revised P.V. ratio, break-even point in each of the following cases:
- (a) Decrease of 10% in selling price.
- (b) Increase of 10% in Variable costs.
- (c) Increase of sales volume to 4000 units and increased in fixed costs by Rs. 40,000.
- (d) Increase of Rs. 18,000 in fixed costs.
- (e) Increase of 20% in selling price and increase of Rs. 8,000 in fixed costs.

Q4

CO-2; SO-;
BL-Analysis & Apply

Following information has been extracted from the books of M/s Tendulkar manufacturing company for the year ended 31st March 2025 [20]

Particulars	₹
Opening stock of raw	1,17,500
materials	1,25,000
Closing stock of raw material	5,20,000
materials	35,000
Raw material purchase	20,500
Royalty on production	8,500
Carriage inwards	26,500
Discount allowed	7,500
Repairs to plant and	750
machinery	30,000
Rent, rates and Taxes (factory)	5,000
Gas and water charges (office)	5,000
Manager's remuneration	1,200
Cost of Catalogue printing	7,750
Trade, fair expenses	24,000
Profit on sale of furniture	
Office conveyance	
Drawing office salaries	

Out of 48 hours, a week manager, devotes 40 hours to factory and 8 hours for office per week for the whole year.
The management has fixed the selling price at 20 % on sales.
Prepare a detailed cost sheet for the year ended 31 March 2025.

Q5 CO-3; SO-; BL- Analyse & evaluate	a	A company manufactures and sells 20,000 units of a product at a selling price of Rs. 8 per unit. Its fixed costs are Rs. 60,000 and variable expenses are Rs. 80,000. 1. Find the Break-Even Point (BEP) in units. 2. Determine the BEP in units in each of the following cases: a) The selling price is increased by 25%. b) The fixed costs are increased by 20%. c) The fixed costs are decreased by 30%. d) The selling price is decreased by 15%. e) The variable cost per unit increases by 10%.	(15)
Q5 CO-5; SO-; BL-remember	b	Explain any four important uses of budgeting in an organization.	(5)
Q6 CO-3; SO-; BL-remember	a	Briefly Explain the VED and FSN techniques of Material Control.	(6)
Q6 CO-5; SO-; BL- Analysis & Apply	b	The company has prepared the budget for the production of 1,00,000 units of the only commodity manufactured by them for a costing period as under: (Amount in ₹) Raw Material 2,52,000 Direct Labour 75,000 Direct Expenses 10,000 Works Overheads (60% Fixed) 2,25,000 Administrative Overheads (80% Fixed) 40,000 Selling Overheads (50% Fixed) 20,000 The actual production during the period was only 60,000 units. Calculate the revised budgeted cost per unit.	(14)
Q7 CO-3; SO-; BL- Analysis & Apply	a	XYZ Ltd manages a warehouse of computer accessories. The following details are available: Minimum consumption = 300 units/day Maximum consumption = 500 units/day Normal consumption = 400 units/day Re-order quantity = 2,000 units Minimum lead time = 6 days Maximum lead time = 14 days Normal lead time = 10 days Calculate: a) Re-order Level (ROL) b) Minimum Stock Level c) Maximum Stock Level d) Average Stock Level	(8)
Q7 CO-4; SO-; BL- Analysis & Apply	b	From the following data, calculate: Labour Cost Variance (LCV) Labour Rate Variance (LRV) Labour Efficiency Variance (LEV)	(12)

Particulars	Standard Hours	Standard Rate/hr	Actual Hours	Actual Rate/hr
Skilled Labour	6000	₹ 22	6600	₹ 20
Unskilled Labour	4000	₹ 12	3800	₹ 15

Output:
Standard Output = 120 Units
Actual Output = 100 Units